



MICROSOFT

OUTPERFORM

MSFT US ■ PRICE USD395.6* ■ TARGET PRICE **USD549** (UPSIDE 39%)

TARGET PRICE	EPS 06/28e	EPS 06/29e
↘ -1%	↘ -1%	↘ -2%

FQ4'26 preview: Revenue growth acceleration in sight

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Heading into FQ4'26, and having already provided some outlook commentary at the Q3 results, we expect the focus will center on 1) an update on Copilot seat adoption, 2) initial FY27 operating margin guidance, and 3) the company's capex outlook. For FQ4, we expect Azure growth of 41% (vs. ~40% Cons) alongside a further acceleration in Copilot seat additions, with 7-8m seat adds likely achievable (with a 30m+ blowout possible) given the seasonally stronger FQ4 bookings (we expect 16% underlying CCY M365 Commercial Cloud growth). For FQ1'27, we expect Azure guidance of 40 – 41% (vs. Cons of 40.6%), and M365 Commercial Cloud guidance of 15 – 16% (with the potential to deliver up to 17% CCY if Copilot seats exceed 30m). We also expect Microsoft to initially guide for ~50bps of operating margin contraction given ramping depreciation and headwinds in certain higher margin businesses (i.e. Windows), although a flat OM may eventually be possible. We could also see CY26 capex modestly increase (we increase our CY26 est to \$195bn vs. \$190bn guidance) due to continued inflation, although we suspect Microsoft may not yet comment on FY27 capex. For FY'26, we model revenue growth accelerating to near 18% c/c vs consensus of 16.8%. We model 20bps of OM decline vs 0% for consensus. We see revenue growth acceleration as a catalyst.

Our BNP Paribas Software Reseller Survey indicates a rebound in performance for Microsoft

Results improved for Microsoft this quarter on both a trailing and forward basis, with a strong rebound in Europe. Our Microsoft last 3M net spending score increased to 3.9 in July (vs. 1.8 in April) and our Next 3M net spending score also increased to 5.3 in July (vs. 3.9 in April).

Increasing our capex estimates; reducing TP to \$549 (vs. \$555) and reiterate Outperform

We slightly tweak out FY27 / FY28 EPS estimates, but meaningfully increase our capex expectations. For FY27, we increase our cash capex to \$226bn (+16% vs. prior est) and total capex to ~\$262bn (+15% vs. prior est) to reflect continued component inflation. We reduce our TP to \$549 on the back of our lower EPS estimates and we value MSFT on SOTP (25x FY28 P/E and its OpenAI stake).

Microsoft (+)		MSFT US				Performance ⁽¹⁾				
						1w	1m	3m	12m	
*Closing Price (15 July 2026)		USD395.6				Absolute(%)	(1)	(1)	(2)	(23)
Volume (USDm / EURm)		15,816.4 / 13,820.0				Rel. Software(%)	NC	NC	NC	NC
Market cap (USDbn / EURbn)		2,918.4 / 2,550.0				Rel. MSCI USA(%)	NC	NC	NC	NC
Free float (USDbn / EURbn)		2,916.1 / 2,548.0								
EV (USDbn / EURbn)		2,883.7 / 2,519.7								
Country / Sub Sector		USA / Software								
Financials		06/26e	06/27e	06/28e	06/29e	Valuation metrics ⁽²⁾				
EPS, Adjusted (USD)		17.2	19.9	23.6	28.5	P/E (x)	26.7	19.9	16.8	13.9
EPS, Company (USD)		17.42	19.65	23.42	28.34	Net yield (%)	0.8	1.0	1.2	1.3
EPS - Bloomberg (USD)		17.1	19.5	22.9	27.3	FCF yield (%)	1.9	(0.3)	0.8	3.0
Net dividend (USD)		3.7	4.1	4.7	5.3	EV/Sales (x)	10.1	7.4	6.2	5.1
Sales (USDm)		329,968	388,590	467,674	560,407	EV/EBITDA (x)	17.4	12.1	9.3	7.3
EBITA, Adj. (USDm)		157,878	182,889	218,000	261,014	EV/EBITA (x)	21.2	15.8	13.2	10.9
Net profit, Adj.(USDm)		128,262	147,450	173,852	208,342	EV/CE (x)	7.5	4.8	3.9	3.2
ROCE (%)		28.5	24.8	23.7	23.9					
Net Debt/EBITDA, Adj. (x)		-	-	-	-					

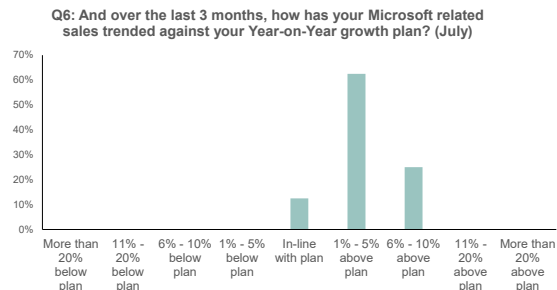
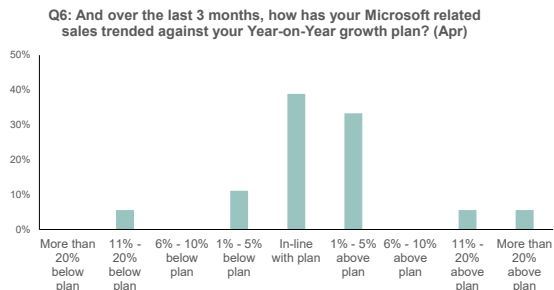
Source: BNP Paribas Equity Research (estimates), Bloomberg (consensus) (1) In listing currency, with dividend reinvested (2) Yearly average price for FY ended 06/26

See page 10 for Analyst Certification, Important Disclosures, Non-US Research Analyst disclosures and BNP Paribas Group Corporate Social Responsibility ("CSR") policies. BNP Paribas has adopted strict CSR policies that govern financing and investment in certain sectors. For time of dissemination, please refer to the Cube. *Closing Price (15 July 2026). (1) FINRA member firm and broker-dealer registered with the U.S. Securities Exchange Commission

Microsoft reseller survey results

Figure 1: Microsoft recorded a net spending score of 3.9, up from 1.8 in April

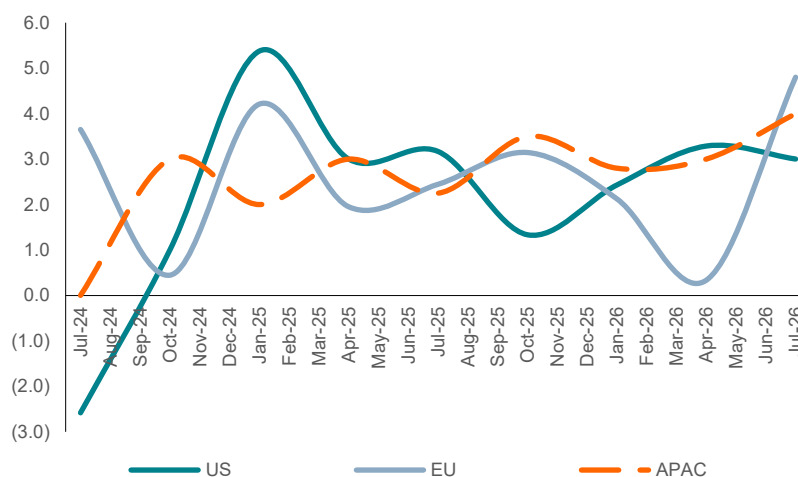
Sales Performance versus Plan – Last 3M (April vs July)



Source: BNPP reseller survey

Figure 2: MSFT saw most significant improvement in Europe while US spend score ticked down

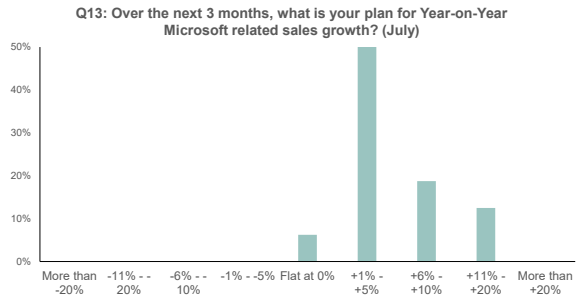
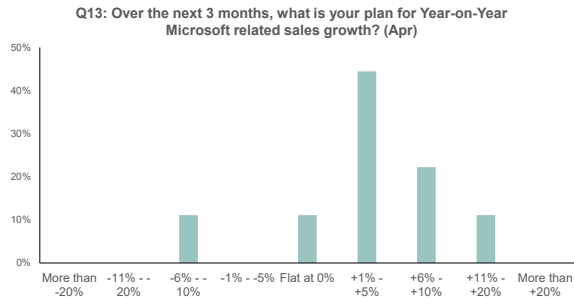
Last 3M spend score by geo



Source: BNPP reseller survey

Figure 3: Microsoft recorded a net spending score of 5.3, up from 3.9 in April

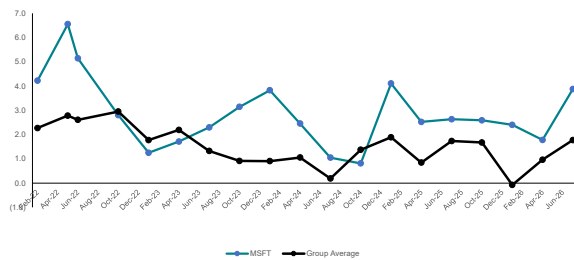
Spend growth expectations – Next 3M (April vs July)



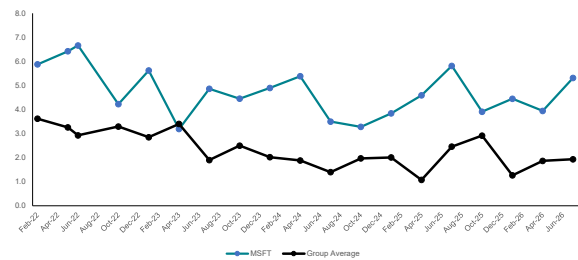
Source: BNPP reseller survey

Figure 4: Microsoft Last 3m and Next 3m scores both improved

Spend score – Last 3M



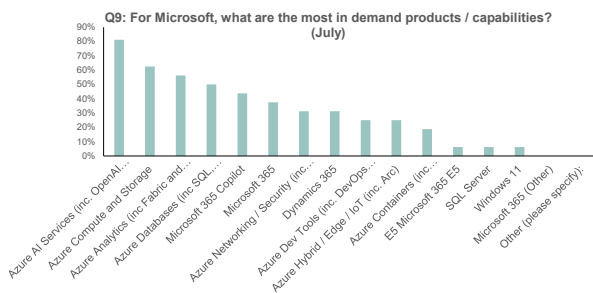
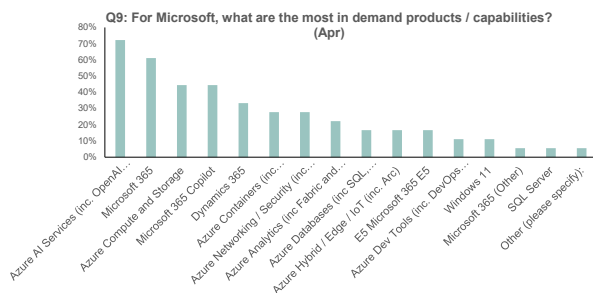
Spend score – Next 3M



Source: BNPP reseller survey

Figure 5: Azure AI Services in highest demand, followed by Azure Compute and Storage

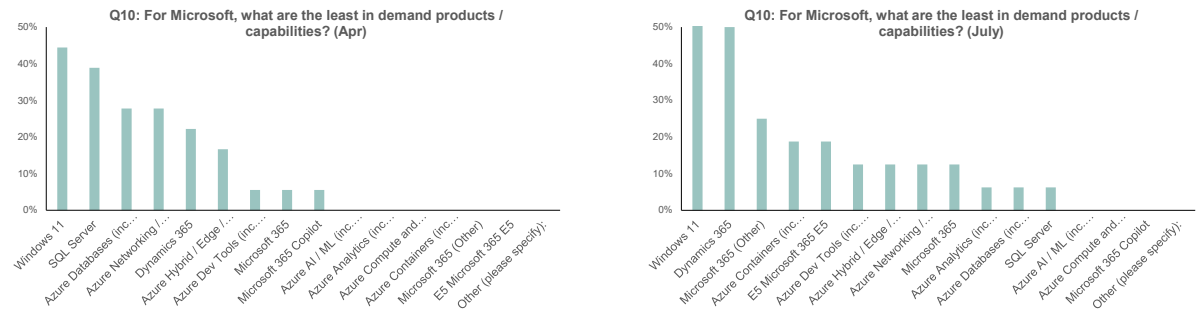
Products most in demand (April vs July)



Source: BNPP reseller survey

Figure 6: Product in least demand is Windows 11 and Dynamics 365

Products least in demand (April vs July)



Source: BNPP reseller survey

Changes to estimates

Figure 7: We increase our FY27 / FY28 capex estimates to reflect continued component inflation and now forecast \$226bn of cash capex and ~\$262bn of total capex (incl. finance leases), resulting in a meaningful haircut to our FY27 / FY28 FCF estimates

Changes to BNPP estimates

BNP Paribas Old vs. New Overview		FY26	FY26	FY26	FY27	FY27	FY27	FY28	FY28	FY28
		Old	New	Chg.	Old	New	Chg.	Old	New	Chg.
Group Highlights										
Group Revenue	USDm	330,172	329,968	(0.1%)	389,034	388,590	(0.1%)	467,305	467,674	0.1%
Growth y.y. - CCY	%	15.6%	15.6%	(0.1pp)	17.8%	17.8%	(0.1pp)	20.1%	20.4%	+0.2pp
Operating Income - GAAP	USDm	154,124	154,033	(0.1%)	180,801	180,598	(0.1%)	216,203	216,375	0.1%
Operating Margin - GAAP	%	46.7%	46.7%	+0.0pp	46.5%	46.5%	+0.0pp	46.3%	46.3%	+0.0pp
Operating Income - BNPP adj. (EBITA)	USDm	157,969	157,878	(0.1%)	183,092	182,889	(0.1%)	217,828	218,000	0.1%
Net Income	USDm	129,916	129,842	(0.1%)	146,262	145,595	(0.5%)	174,572	172,536	(1.2%)
EPS - Dil (GAAP)	USD p/sh	17.43	17.42	(0.1%)	19.74	19.65	(0.5%)	23.70	23.42	(1.2%)
EPS - Dil (BNPP adj.)	USD p/sh	17.22	17.21	(0.1%)	19.99	19.90	(0.5%)	23.88	23.60	(1.2%)
CFO	USDm	177,436	177,431	(0.0%)	216,030	216,941	0.4%	273,714	278,868	1.9%
Capex	USDm	112,832	113,638	0.7%	194,517	226,749	16.6%	208,849	256,387	22.8%
FCF	USDm	64,604	63,793	(1.3%)	21,513	(9,807)	(145.6%)	64,865	22,482	(65.3%)
Azure Growth y.y. - CCY	%	39.4%	39.4%	-	41.3%	41.3%	-	38.4%	38.4%	-
Segment - Productivity & Business Process										
Revenue Segment - Productivity & Business Process	USDm	139,664	139,460	(0.1%)	156,404	157,032	0.4%	174,892	176,379	0.9%
Growth y.y. - Reported	%	15.6%	15.4%	(0.2pp)	12.0%	12.6%	+0.6pp	11.8%	12.3%	+0.5pp
Growth y.y. - CCY	%	13.2%	13.0%	(0.2pp)	12.0%	12.6%	+0.6pp	11.8%	12.3%	+0.5pp
M365 Commercial Products and Cloud Services	USDm	101,769	101,565	(0.2%)	114,822	115,450	0.5%	130,191	131,678	1.1%
Growth y.y. - Reported	%	17.2%	17.1%	(0.1pp)	17.8%	17.8%	(0.1pp)	20.1%	20.4%	+0.2pp
LinkedIn	USDm	19,666	19,666	-	21,151	21,151	-	22,537	22,537	-
Growth y.y. - Reported	%	10.4%	10.4%	-	7.5%	7.5%	-	6.6%	6.6%	-
Segment - Intelligent Cloud										
Revenue Segment - Intelligent Cloud	USDm	137,053	137,053	-	180,369	180,369	-	237,597	237,597	-
Growth y.y. - Reported	%	29.0%	29.0%	-	31.6%	31.6%	-	31.7%	31.7%	-
Growth y.y. - CCY	%	27.4%	27.4%	-	31.6%	31.6%	-	31.7%	31.7%	-
Server Products and Cloud Services	USDm	128,840	128,840	-	172,461	172,461	-	229,848	229,848	-
Growth y.y. - Reported	%	30.8%	30.8%	-	33.9%	33.9%	-	33.3%	33.3%	-
Segment - More Personal Computing										
Revenue Segment - More Personal Computing	USDm	53,458	53,458	-	52,261	51,190	(2.1%)	54,816	53,699	(2.0%)
Growth y.y. - Reported	%	(2.2%)	(2.2%)	-	(2.2%)	(4.2%)	(2.0pp)	4.9%	4.9%	+0.0pp
Growth y.y. - CCY	%	(3.0%)	(3.0%)	-	(2.2%)	(4.2%)	(2.0pp)	4.9%	4.9%	+0.0pp

Source: BNP Paribas estimates

BNPP vs. consensus

Figure 8: We are 50bps ahead on 3Q group revenues, largely driven by our 41% CCY Azure estimate (vs. 40% Cons). We are also 10-11% ahead on FQ1 / FQ2 cash capex

BNPP vs. consensus quarterly

BNP Paribas vs. Consensus Overview		FQ4'26	FQ4'26	FQ4'26	FQ1'27	FQ1'27	FQ1'27	FQ2'27	FQ2'27	FQ2'27	
Consensus updated on: 14 Jul '26		Guide	BNPP	Cons.	BNPP	Cons.	BNPP	BNPP	Cons.	BNPP	
					+/-		+/-			+/-	
Group Highlights											
Group Revenue	USDm	86,700 - 87,800	88,136	87,731	0.5%	90,171	90,000	0.2%	94,850	94,728	0.1%
Growth y.y. - Reported	%	13.4% - 14.9%	15.3%	14.8%	+0.5pp	16.1%	15.9%	+0.2pp	16.7%	16.6%	+0.2pp
Growth y.y. - CCY	%	12.9% - 14.4%	14.7%	13.9%	+0.8pp	16.1%	15.4%	+0.7pp	16.7%	16.1%	+0.6pp
Gross Income - GAAP	USDm	57,300 - 58,200	58,727	58,389	0.6%	59,554	59,446	0.2%	62,635	61,961	1.1%
Gross Margin - GAAP	%	66.1% - 66.3%	66.6%	66.6%	+0.1pp	66.0%	66.1%	(0.0pp)	66.0%	65.4%	+0.6pp
Operating Income - GAAP	USDm	38,000 - 38,800	39,399	39,145	0.6%	42,446	42,868	(1.0%)	44,479	44,299	0.4%
Operating Margin - GAAP	%	43.8% - 44.2%	44.7%	44.6%	+0.1pp	47.1%	47.6%	(0.6pp)	46.9%	46.8%	+0.1pp
Net Income	USDm		31,859	31,721	0.4%	34,378	34,773	(1.1%)	35,996	35,721	0.8%
EPS - Dil (GAAP)	USD p/sh		4.28	4.24	1.0%	4.63	4.66	(0.6%)	4.85	4.79	1.2%
CFO	USDm		49,937	48,723	2.5%	57,968	53,843	7.7%	45,787	47,445	(3.5%)
Capex	USDm		(33,492)	(35,153)	(4.7%)	(49,594)	(44,828)	10.6%	(55,013)	(49,196)	11.8%
FCF	USDm		16,445	15,252	7.8%	8,373	10,449	(19.9%)	(9,226)	(1,647)	460.3%
Azure Growth y.y. - CCY	%	39 - 40%	41.2%	39.6%	+1.6pp	42.3%	40.6%	+1.7pp	42.6%	41.0%	+1.6pp
Segment - Productivity & Business Process											
Revenue Segment - Productivity & Business	USDm	37,000 - 37,300	37,311	37,235	0.2%	37,054	36,865	0.5%	37,855	37,991	(0.4%)
Growth y.y. - Reported	%	11.7% - 12.6%	12.7%	12.5%	+0.2pp	12.2%	11.6%	+0.6pp	11.0%	11.4%	(0.4pp)
Growth y.y. - CCY	%	10.7% - 11.6%	11.7%			12.2%			11.0%		
M365 Commercial Products and Cloud Se	USDm		27,482	27,467	0.1%	27,120	26,963	0.6%	27,275	28,691	(4.9%)
Growth y.y. - Reported	%		13.0%	12.9%	+0.1pp	13.2%	12.5%	+0.7pp	11.2%	17.0%	(5.8pp)
LinkedIn	USDm		5,038	5,100	(1.2%)	5,007	5,097	(1.8%)	5,484	5,484	(0.0%)
Growth y.y. - Reported	%		9.0%	10.3%	(1.3pp)	6.2%	8.1%	(1.9pp)	7.9%	7.9%	(0.0pp)
Segment - Intelligent Cloud											
Revenue Segment - Intelligent Cloud	USDm	37,950 - 38,250	38,565	38,171	1.0%	40,701	39,876	2.1%	43,495	42,569	2.2%
Growth y.y. - Reported	%	27.0% - 28.0%	29.1%	27.8%	+1.3pp	31.7%	29.1%	+2.7pp	32.2%	29.4%	+2.8pp
Growth y.y. - CCY	%					31.7%			32.2%		
Server Products and Cloud Services	USDm		36,499			38,780			41,620		
Growth y.y. - Reported	%		30.9%	27.8%		34.3%	29.1%		34.8%	29.4%	
Segment - More Personal Computing											
Revenue Segment - More Personal Comput	USDm	11,750 - 12,250	12,260	12,170	0.7%	12,416	13,079	(5.1%)	13,501	13,946	(3.2%)
Growth y.y. - Reported	%	(12.6%) - (8.9%)	(8.9%)	(9.5%)	+0.7pp	(9.7%)	(4.9%)	(4.8pp)	(5.3%)	(2.1%)	(3.1pp)
Growth y.y. - CCY	%	(13.6%) - (9.9%)	(9.9%)			(9.7%)			(5.3%)		

Source: BNP Paribas estimates, Bloomberg Consensus

Figure 9: We are ~1% ahead of consensus on FY27 revenues and ~3% ahead on FY28, driven by our higher Azure estimates. We are also 26 / 28% ahead of Cons on FY27 / FY28 cash capex

BNPP vs. consensus

BNP Paribas vs. Consensus Overview		FY26	FY26	FY26	FY27	FY27	FY27	FY28	FY28	FY28
Consensus updated on: 14 Jul '26		BNPP	Cons.	BNPP +/-	BNPP	Cons.	BNPP +/-	BNPP	Cons.	BNPP +/-
Group Highlights										
Group Revenue	USDm	329,968	329,426	0.2%	388,590	384,082	1.2%	467,674	455,946	2.6%
Growth y.y. - Reported	%	17.1%	16.9%	+0.2pp	17.8%	16.6%	+1.2pp	20.4%	18.7%	+1.6pp
Growth y.y. - CCY	%	15.6%	15.8%	(0.2pp)	17.8%	16.6%	+1.2pp	20.4%	18.5%	+1.8pp
Gross Income - GAAP	USDm	223,710	223,528	0.1%	255,013	254,241	0.3%	299,252	296,174	1.0%
Gross Margin - GAAP	%	67.8%	67.8%	+0.0pp	65.6%	66.6%	(0.9pp)	64.0%	65.4%	(1.4pp)
Operating Income - GAAP	USDm	154,033	153,391	0.4%	180,598	179,628	0.5%	216,375	211,187	2.5%
Operating Margin - GAAP	%	46.7%	46.3%	+0.3pp	46.5%	46.3%	+0.2pp	46.3%	45.9%	+0.4pp
Net Income	USDm	129,842	129,330	0.4%	145,595	145,042	0.4%	172,536	169,792	1.6%
EPS - Dil (GAAP)	USD p/sh	17.42	17.00	2.5%	19.65	19.46	1.0%	23.42	22.82	2.7%
CFO	USDm	177,431	174,613	1.6%	216,941	213,950	1.4%	278,868	257,433	8.3%
Capex	USDm	(113,638)	(116,632)	2.6%	(226,749)	(180,697)	(25.5%)	(256,387)	(200,776)	(27.7%)
FCF	USDm	63,793	64,006	(0.3%)	(9,807)	34,466	(128.5%)	22,482	56,362	(60.1%)
Azure Growth y.y. - CCY	%	39.2%	38.9%	+0.2pp	41.3%	40.0%	+1.3pp	38.4%	36.0%	+2.3pp
Segment - Productivity & Business Process										
Revenue Segment - Productivity & Business Pr	USDm	139,460	139,665	(0.1%)	157,032	155,154	1.2%	176,379	171,366	2.9%
Growth y.y. - Reported	%	15.4%	15.6%	(0.2pp)	12.6%	11.1%	+1.5pp	12.3%	10.4%	+1.9pp
Growth y.y. - CCY	%	13.9%			12.6%			12.3%		
<i>M365 Commercial Products and Cloud Serv</i>	USDm	<i>101,565</i>	<i>101,540</i>	<i>0.0%</i>	<i>115,450</i>	<i>116,924</i>	<i>(1.3%)</i>	<i>131,678</i>	<i>148,385</i>	<i>(11.3%)</i>
<i>Growth y.y. - Reported</i>	%	<i>15.7%</i>	<i>15.7%</i>	<i>+0.0pp</i>	<i>13.7%</i>	<i>15.2%</i>	<i>(1.5pp)</i>	<i>14.1%</i>	<i>26.9%</i>	<i>(12.8pp)</i>
<i>LinkedIn</i>	USDm	<i>19,666</i>	<i>19,718</i>	<i>(0.3%)</i>	<i>21,151</i>	<i>21,298</i>	<i>(0.7%)</i>	<i>22,537</i>	<i>22,797</i>	<i>(1.1%)</i>
<i>Growth y.y. - Reported</i>	%	<i>10.4%</i>	<i>10.7%</i>	<i>(0.3pp)</i>	<i>7.5%</i>	<i>8.0%</i>	<i>(0.5pp)</i>	<i>6.6%</i>	<i>7.0%</i>	<i>(0.5pp)</i>
Segment - Intelligent Cloud										
Revenue Segment - Intelligent Cloud	USDm	137,050	137,595	(0.4%)	180,369	183,317	(1.6%)	237,597	228,148	4.1%
Growth y.y. - Reported	%	29.0%	29.5%	(0.5pp)	31.6%	33.2%	(1.6pp)	31.7%	24.5%	+7.3pp
Growth y.y. - CCY	%	28.0%			31.6%			31.7%		
<i>Server Products and Cloud Services</i>	USDm	<i>128,840</i>	<i>128,389</i>	<i>0.4%</i>	<i>172,461</i>	<i>168,153</i>	<i>2.6%</i>	<i>229,848</i>	<i>221,535</i>	<i>3.8%</i>
<i>Growth y.y. - Reported</i>	%	<i>30.8%</i>	<i>30.3%</i>	<i>+0.5pp</i>	<i>33.9%</i>	<i>31.0%</i>	<i>+2.9pp</i>	<i>33.3%</i>	<i>31.7%</i>	<i>+1.5pp</i>
Segment - More Personal Computing										
Revenue Segment - More Personal Computing	USDm	53,455	53,349	0.2%	51,190	51,476	(0.6%)	53,699	52,278	2.7%
Growth y.y. - Reported	%	(2.2%)	(2.4%)	+0.2pp	(4.2%)	(3.5%)	(0.7pp)	4.9%	1.6%	+3.3pp
Growth y.y. - CCY	%	(3.8%)			(4.2%)			4.9%		

Source: BNP Paribas estimates, Bloomberg Consensus

Valuation

Figure 10: We value Microsoft on a SOTP using a 25x FY28 P/E multiple (discounted back) and its stake in OpenAI. Our TP moves to \$549 (vs \$555), driven by our lower EPS estimates (higher capex / depreciation)

Microsoft valuation overview

Share price		385								
Target price		549								
Up/(down)side		42%								
		FY21	FY22	FY23	FY24	FY25	FY26e	FY27e	FY28e	
Revenue - Group	USDm	168,088	198,270	211,915	245,122	281,724	329,968	388,590	467,674	
Growth y.y. (ccy)	%	-	-	-	15.3%	15.2%	15.6%	17.8%	20.4%	
EBIT - GAAP	USDm	69,916	83,383	88,523	109,433	128,528	154,033	180,598	216,375	
Margin	%	41.6%	42.1%	41.8%	44.6%	45.6%	46.7%	46.5%	46.3%	
EBITA - BNPP adj.	USDm	70,926	84,876	91,794	113,230	133,257	157,878	182,889	218,000	
Margin	%	42.2%	42.8%	43.3%	46.2%	47.3%	47.8%	47.1%	46.6%	
EPS - GAAP - dil.	USD p/sh	8.06	9.64	9.68	11.82	13.64	17.42	19.65	23.42	
EPS - ex-OpenAI dil.	USD p/sh	8.06	9.64	9.68	11.82	14.10	16.82	19.65	23.42	
EPS - BNPP adj. - dil.	USD p/sh	8.17	9.31	10.02	12.25	14.58	17.21	19.90	23.60	
FCF - Co.	USDm	56,118	65,149	59,475	74,071	71,611	63,793	(9,807)	22,482	
FCF - BNPP	USDm	56,118	65,149	59,475	74,071	71,611	63,793	(9,807)	22,482	
# shares	m	7,608	7,541	7,472	7,459	7,465	7,452	7,411	7,366	
Market capitalisation (accounts currency)	USDm	1,718,099	2,226,571	1,995,357	2,810,253	3,151,971	3,412,461	2,884,095	2,865,395	
Adjusted net debt (restated cash)	USDm	(72,188)	(54,976)	(64,025)	(23,913)	(51,414)	(73,178)	(34,702)	(21,320)	
Adjusted lease liability	USDm	-	-	-	-	-	-	-	-	
Other liabilities and commitments	USDm	-	-	-	-	-	-	-	-	
Revalued minority interests	USDm	-	-	-	-	-	-	-	-	
(Assoc. + revalued investments)	USDm	-	-	-	-	-	-	-	-	
Enterprise Value (EV)	USDm	1,645,911	2,171,595	1,931,332	2,786,340	3,100,557	3,339,283	2,849,394	2,844,075	
Implied multiples at current share price										
EV/Sales	x	9.8x	11.0x	9.1x	11.4x	11.0x	10.1x	7.3x	6.1x	
EV/EBITA - BNPP adj.	x	23.2x	25.6x	21.0x	24.6x	23.3x	21.2x	15.6x	13.0x	
EV/EBIT - GAAP	x	24x	26x	22x	25x	24x	22x	16x	13x	
P/E - BNPP adj.	x	47x	41x	38x	31x	26x	22x	19x	16x	
P/E - GAAP	x	48x	40x	40x	33x	28x	22x	20x	16x	
FCF yield - Co.	%	3.3%	2.9%	3.0%	2.6%	2.3%	1.9%	(0.3%)	0.8%	
FCF yield - BNPP	%	3.3%	2.9%	3.0%	2.6%	2.3%	1.9%	(0.3%)	0.8%	
EV/FCF	x	29x	33x	32x	38x	43x	52x	(291x)	127x	
Implied multiples at undiscounted target price										
EV/Sales	x	26.1x	22.0x	20.3x	17.7x	15.3x	13.0x	11.1x	9.2x	
EV/EBITA - BNPP adj.	x	62x	51x	47x	38x	32x	27x	24x	20x	
EV/EBIT - GAAP	x	63x	52x	49x	40x	34x	28x	24x	20x	
P/E - BNPP adj.	x	72x	63x	58x	48x	40x	34x	29x	25x	
P/E - GAAP	x	73x	61x	60x	50x	43x	34x	30x	25x	
FCF yield - Co.	%	1.3%	1.5%	1.4%	1.7%	1.6%	1.5%	(0.2%)	0.5%	
FCF yield - BNPP	%	1.3%	1.5%	1.4%	1.7%	1.6%	1.5%	(0.2%)	0.5%	
EV/FCF	x	78x	67x	72x	59x	60x	67x	(439x)	191x	
Reference multiple: P/E (BNPP)										
Reference multiple: CY2027 P/E					Target Multiple Market Cap					
GAAP Price to Earnings Ratio					25.0x \$4,313,725					
					No. Shares 7,366					
					Implied TP \$586					
OpenAI Valuation					Valuation \$852,000					
Microsoft's stake in OpenAI					% Stake 23%					
OpenAI contribution to Microsoft					Implied TP \$26					
Discount Factor = WACC										
	%	10%								
Price per share (undiscounted) - P/E based	USD	\$586								
Price per share (discounted) - P/E based	USD	\$522								
(+) OpenAI Stake	USD	\$26								
Target Price (discounted)	USD	\$549								
Discount period	Years	1.2								

Source: BNP Paribas estimates

Investment case, valuation and risks

Microsoft (Outperform, Target Price USD549)

Investment case

We see Microsoft as positioned to benefit from a leadership position in technologies with strong secular growth tailwinds, including Cloud Computing and Data Analytics (Azure, Synapse, Fabric), Software Development (GitHub, Visual Studio and the Windows Platform), Productivity (Office), Collaboration (Teams), Enterprise automation (Dynamics and Power Platform), Cyber Security, Advertising (Netflix and OpenAI partnerships, and own services like LinkedIn and Bing), and Gaming (Xbox and Activision). Microsoft is also now leveraging Generative AI across its products, which we believe will drive increased usage and ARPU increases. The company's OpenAI partnership will also likely help drive revenue growth acceleration. We also see Microsoft proactively managing its cost structure, despite accelerating depreciation costs, helping maintain margins at a high level. In addition, the company's communication is amongst the best in Big Tech, providing investors with a clearer understanding of investment priorities and shareholder return visibility.

Valuation methodology

We use a 25x NTM P/E multiple (using ex OpenAI gains and losses earnings) to value Microsoft, based on our FY28 EPS estimates, discounted back, and we also add value for Microsoft's stake in OpenAI.

Risks

To the upside:

Faster than expected uptake for Microsoft's Co-pilot would be a positive catalyst for the stock. Microsoft Azure's growth and market share gain could exceed our expectations, driving higher than expected revenue growth. Similarly, any of Dynamics, Office 365, Gaming, Devices, LinkedIn or Search Advertising could exceed our expectations in a given year or over a multi-year period. Greater market confidence around OpenAI, and OpenAI's ability to raise capital and achieve FCF break-even, would also help confidence.

To the downside:

The inability to meet demand, including difficulty accessing GPUs, may negatively impact Azure growth. The dependency on OpenAI for its GPT model also creates a strategic risk, while the increased dependence on Generative AI for growth also creates risk as it is still an unproven technology in the enterprise. Cyclical weakness in core businesses, such as Windows, could last longer than expected, weighing on growth and driving valuation pressure. Increasing investor concern around SaaS business models and headcount growth dependence is also a risk. Regulatory risk from competition concerns over hyperscalers' dominance of cloud workloads could also factor. Lastly the need to continuously innovate in a highly competitive market could weigh on long term profitability.

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Stefan Slowinski BNP Paribas London
Branch

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Neutral (Hold)	485	35	107	22
Underperform (Sell)	194	14	39	20

* Please note that the percentages might not add up to 100% because of rounding.

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Price and Ratings Chart

Microsoft

Historical Closing Price & Target Price (closing price as of 15/07/2026)



Source: BNP Paribas

Historical rating & target price changes

Date & Time of Dissemination (London time) (2)	Rating (1)	Target Price	Closing Price	Key Changes	Person(s) Involved
16 Jul 2026 22:42	+	USD549.00	USD395.63	TP down	S. Slowinski, D. Wang, K. Patton
30 Apr. 2026 14:14	+	USD555.00	USD407.78	TP down	S. Slowinski, D. Wang, K. Patton
10 Apr. 2026 21:43	+	USD556.00	USD370.87	TP down	S. Slowinski, D. Wang, K. Patton
26 Jan. 2026 05:56	+	USD659.00	USD470.28	TP up	S. Slowinski, D. Wang, K. Patton
3 Nov. 2025 11:51	+	USD632.00	USD517.03	TP up	S. Slowinski, D. Wang, K. Patton
1 Aug. 2025 05:41	+	USD630.00	USD524.11	TP up	S. Slowinski, D. Wang, K. Patton
28 Jul. 2025 21:19	+	USD625.00	USD512.50	TP up	S. Slowinski, D. Wang, K. Patton
26 Jun. 2025 06:12	+	USD606.00	USD497.45	TP up	S. Slowinski, D. Wang, K. Patton
2 May 2025 05:55	+	USD500.00	USD435.28	TP up	S. Slowinski, D. Wang, K. Patton
17 Apr. 2025 11:50	+	USD483.00	USD367.78	TP down	S. Slowinski, D. Wang, K. Patton
31 Jul. 2024 06:23	+	USD500.00	USD418.35	TP down	S. Slowinski, K. Patton
22 Jul. 2024 05:59	+	USD525.00	USD442.94	TP up	S. Slowinski, K. Patton
2 May 2024 14:22	+	USD495.00	USD397.84	TP up	S. Slowinski, K. Patton, B. Castillo-Bernaus
31 Jan. 2024 05:11	+	USD485.00	USD397.58	TP up	S. Slowinski, L. Lu, K. Patton
18 Jan. 2024 17:21	+	USD471.00	USD389.47	Rating up, TP up	S. Slowinski, B. Castillo-Bernaus, L. Lu, K. Patton
27 Oct. 2023 06:04	=	USD350.00	USD329.81	TP up	S. Slowinski, L. Lu, K. Patton
14 Aug. 2023 08:06	=	USD325.00	USD324.04	TP down	S. Slowinski, L. Lu, K. Patton
26 Jul. 2023 06:04	=	USD361.00	USD337.77	TP down	S. Slowinski, L. Lu, K. Patton
19 Jul. 2023 06:04	=	USD365.00	USD355.08	TP up	S. Slowinski, L. Lu, K. Patton

(1) With effect from 23 September 2024, BNP Paribas changed its research rating system - please refer to the 'Explanation of Research Ratings'.

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